

SUM OF THE PARTS

Dixon Technologies is reaping the benefits of some smart decisions it made a decade ago. Founder Sunil Vachani is now focussed on consolidating the gains

By **Arnab Dutta** • PHOTO BY **HARDIK CHHABRA**

► **IT ALL STARTED WITH AN IDEA.** For a young Sunil Vachani, the proposition was simple: to set up a company that would specialise in manufacturing electronic components and products on behalf of other firms. And with this idea, he approached his father for funds. But this was the early 1990s, and India then was a different place. Then, electronics manufacturing was confined mainly to television and refrigerators. Moreover, most leading players preferred to keep their production in-house. What we know today as electronics manufactur-

ing services (EMS), was virtually unheard of back in the day. Vachani, however, was confident about its future. Freshly back from London with a graduate degree, the young entrepreneur's journey took flight in December 1993 when his father finally agreed to back his plan. "He trusted me and said, 'I am going to give you four things.' He gave me a small capital to start the venture; chose the name Dixon [for the venture]; sent one of his trusted protégées, Atul Lall, and [gave me] his blessings. That's how the journey began," says Vachani, who is the winner in the Consumer Goods & Durables category of the BT-PwC India's Best CEOs ranking this year. Atul Lall is now the CEO of Dixon.

And Vachani's journey has been nothing short of remarkable. From a single rented factory in Noida, only 30-odd employees, one modest product for one customer—assembling CRT TV sets for Goldstar (now LG Electronics)—Dixon Technologies has come a long way. Today, it is a leader across multiple sectors, servicing leading global and Indian brands, and proudly stands among the top players in the global EMS arena. Dixon today has 23 factories spread across Uttar Pradesh, Punjab, Uttarakhand and Andhra Pradesh, and employs close to 25,000 professionals. And, from a few lakh rupees as turnover in the first year, it has surged to ₹12,192 crore in FY23. Now Vachani expects it to grow to ₹18,000 crore by end-FY24.

Incidentally, none of the company's customers has left since their first association with Dixon over its three decade-long journey. What has impressed industry watchers is the kind of growth that Dixon has registered over the past five years. From ₹2,984 crore in FY19, its sales have grown at a CAGR of 42.2% till FY23, defying the economic slowdown that the pandemic had wrought.

Consumer Goods & Durables

SUNIL VACHANI

EXECUTIVE CHAIRMAN,
DIXON TECHNOLOGIES (INDIA) LTD

Revenue from operations	FY23	12,192
	9MFY24	13,032.9
Profit before tax	FY23	344.8
	9MFY24	364.3
Profit after tax	FY23	255.1
	9MFY24	277.6
	FY23 RoE (%)	22.63
	Market Cap	41,073.5

● Data is on a consolidated basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023

● M-cap as of February 23, 2024

● **Source** ACE Equity, BSE